

5 BOLLINGER BANDS

Bollinger Band is a technical indicator that creates a border around the closing price of the asset based on its volatility and then inferences are drawn based on the width and behaviour of these lines along with the closing price. Bollinger Bands are one of the most effective ways to understand the volatility of an asset's price. The width of the bands determines the volatility of the prices at the moment and its proximity to the closing price helps us make buy and sell decisions.

To construct Bollinger bands, we begin with the closing price and the simple moving average of the closing price for the last N number of periods. Then we create the bands on the upper side as well as the lower side for which distance is calculated based on standard deviations. The Bollinger bands generally are 1, 1.5 or 2 standard deviations away from the simple moving average. For beginners, the standard deviation is a statistical measure of variability/volatility. More volatility in the observations (closing price in this case), higher will be the standard deviation.

